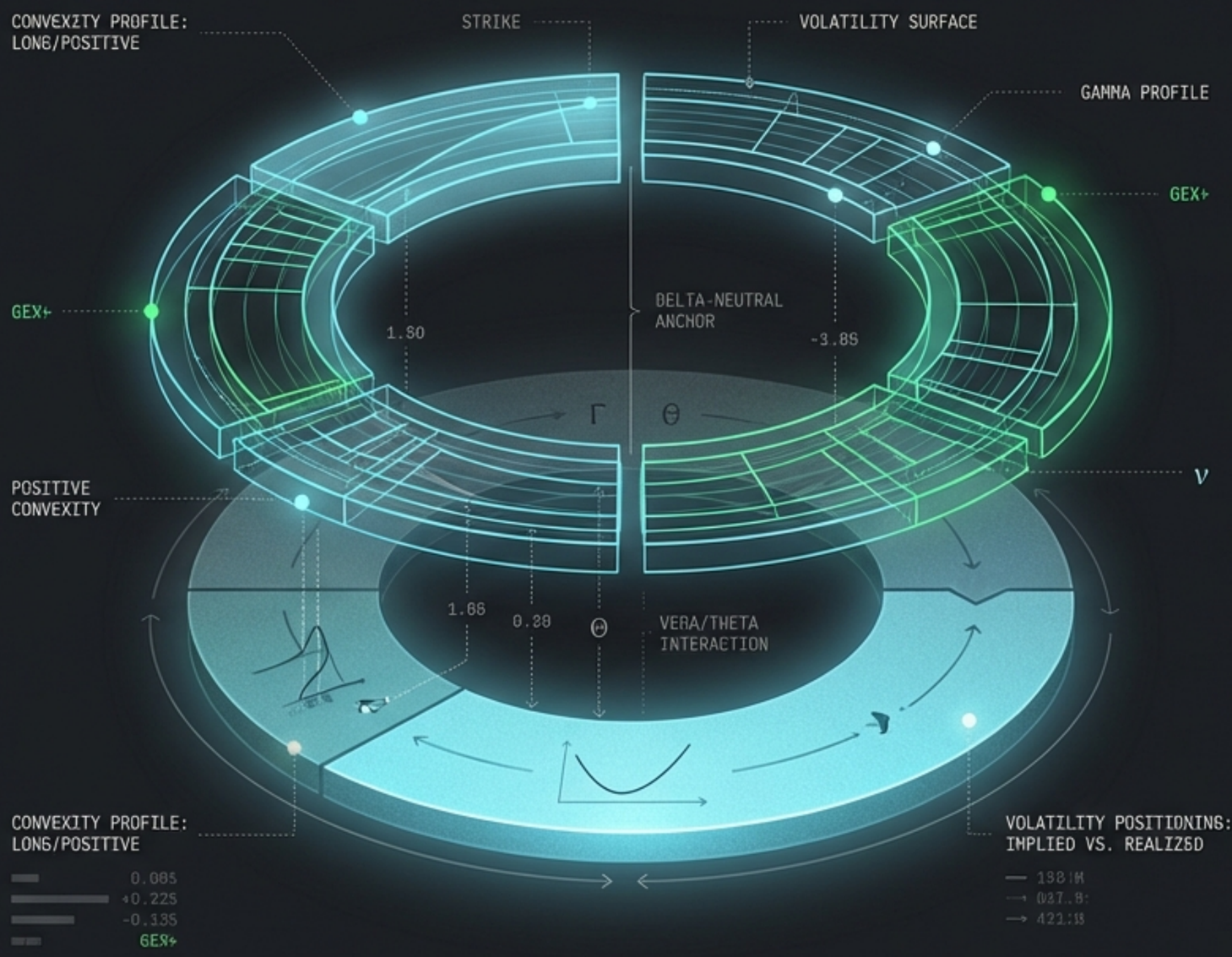
Decoding Options Order Flow

An Academic Framework for Convexity, Gamma Exposure (GEX), and Volatility Positioning



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Two Dimensions of Market Data in One Signal



Gamma Exposure (GEX).

Identifies the foundational option class bias (Call vs. Put) and directional exposure.

INNER CORE // GEX SIGNAL

Convexity.

Dictates the position type (Long vs. Short) and the magnitude of volatiiity expectation.

OUTER RING // CONVEXITY SIGNAL

To understand the context, we must read both colors as one.

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Convexity: The Conviction Indicator

The outer ring reveals absolute order flow positioning.



Positive Convexity (Long)

Represents buying options order flow.

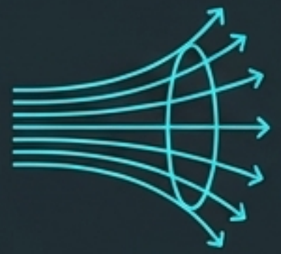


Negative Convexity (Short)

Represents selling options order flow.

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Volatility Expectations & Market Conviction



Positive Convexity (Cyan/Long Positions)

- Signals clear conviction about imminent price movements.
- Indicates that an increase in volatility is expected.
- Represents the highest volatility expectations in the market.



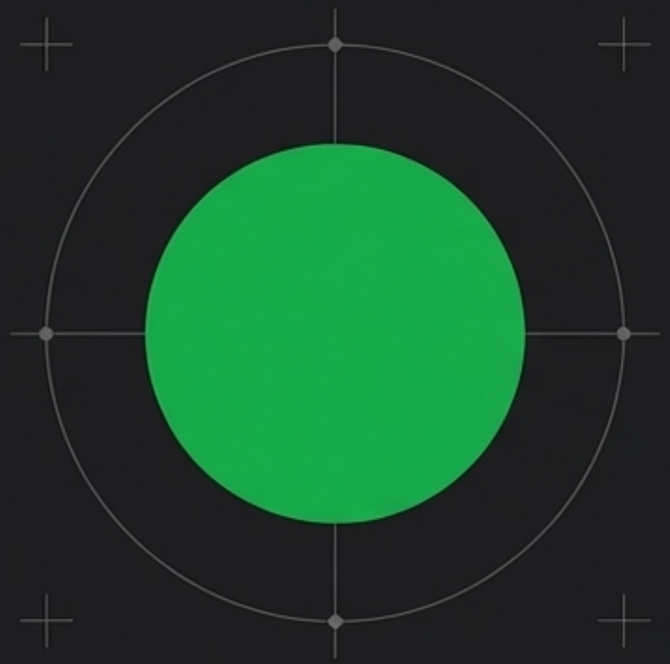
Negative Convexity (Purple/Short Positions)

- Signals a lack of conviction regarding price breakouts.
- Suggests stagnation and range-bound trading.

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Gamma Exposure (GEX): The Directional Core

The inner circle reveals the foundational option class driving the exposure.



GEX+

Indicates a Call-side dynamic.



GEX-

Indicates a Put-side dynamic.

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How Positioning Flips Exposure

GEX polarity is a product of the fundamental option type and the specific position side.

Long (+1) × Call (+1) = GEX+ (Green)

Short (-1) × Call (+1) = GEX- (Red)

Long (+1) × Put (-1) = GEX- (Red)

Short (-1) × Put (-1) = GEX+ (Green)

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The Order Flow Diagnostic Matrix

	Call	Put
Position Type (Long/Cyan)	 Long Call	 Long Put
Position Type (Short/Purple)	 Short Call	 Short Put

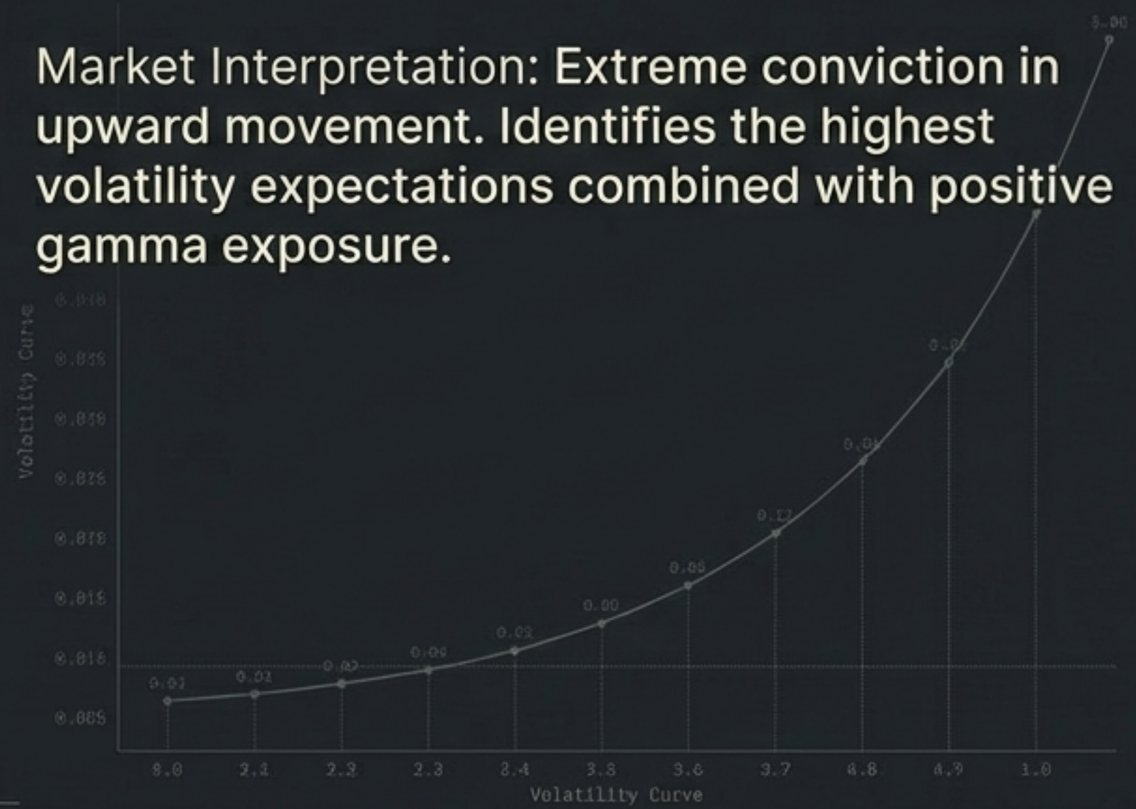
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Long Call [Cyan Outer / Green Inner]

Mechanism Data: Positive Convexity + GEX+

Market Interpretation: **Extreme conviction in upward movement. Identifies the highest volatility expectations combined with positive gamma exposure.**



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Short Call [Purple Outer / Red Inner]

Mechanism Data: Negative Convexity + GEX-

Market Interpretation: Expectation of stagnation or overhead resistance. Market makers are taking a range-bound view lacking breakout conviction.



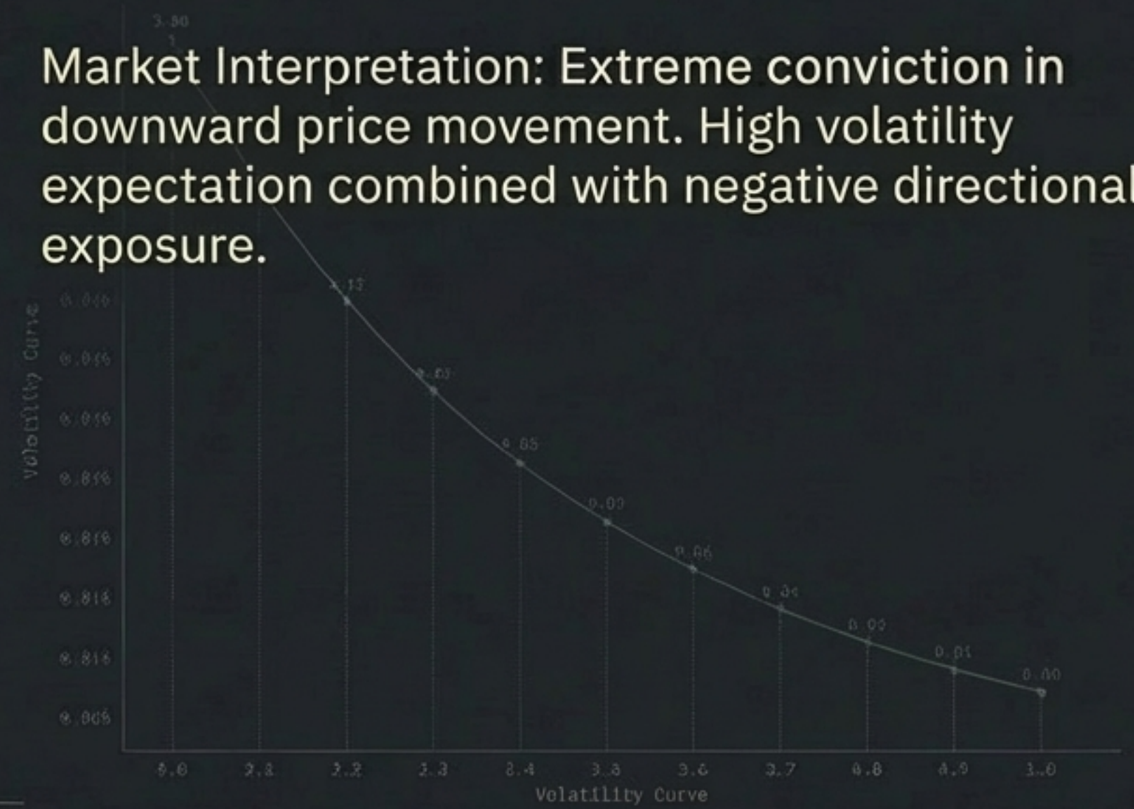
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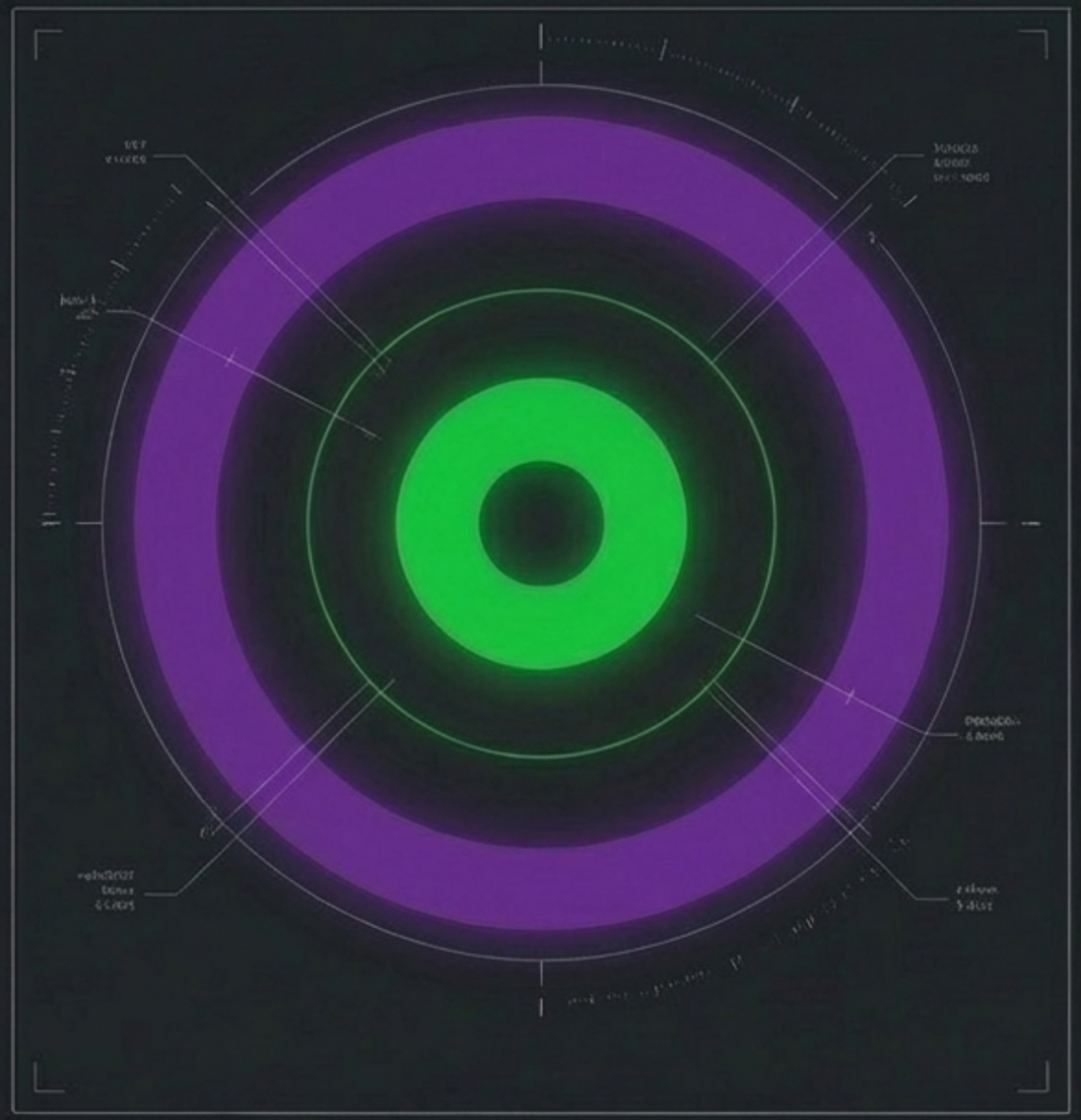
Long Put [Cyan Outer / Red Inner]

Mechanism Data: Positive Convexity + GEX-

Market Interpretation: Extreme conviction in downward price movement. High volatility expectation combined with negative directional exposure.



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Short Put [Purple Outer / Green Inner]

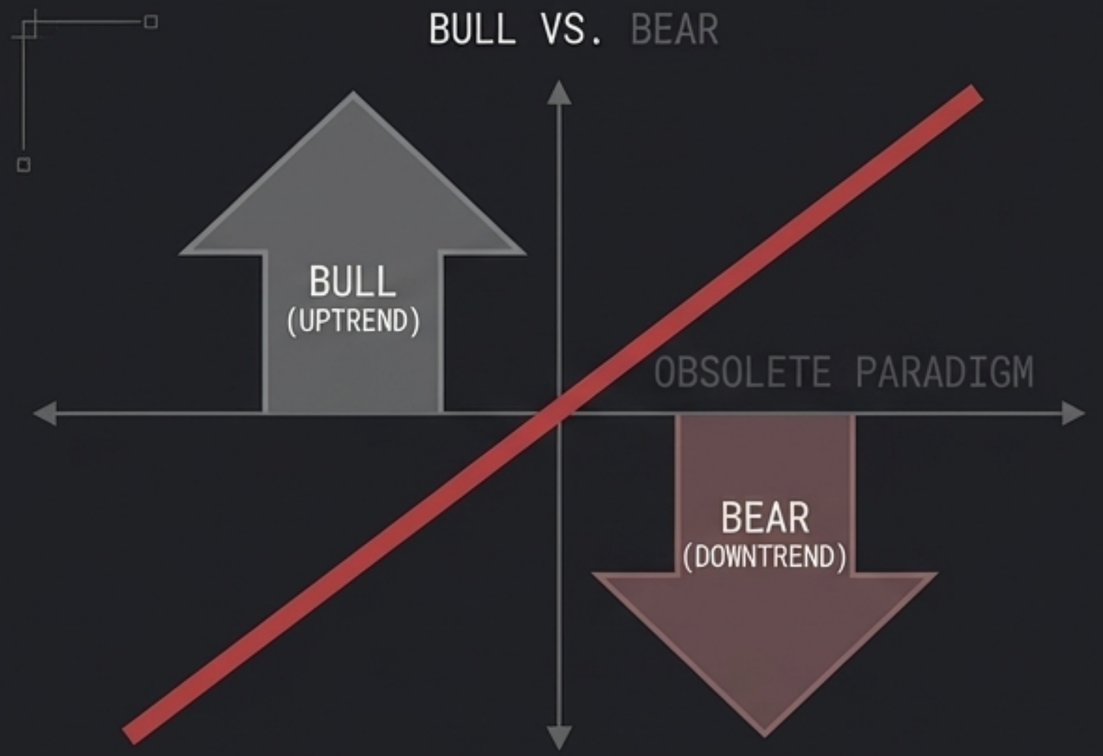
Mechanism Data: Negative Convexity + GEX+

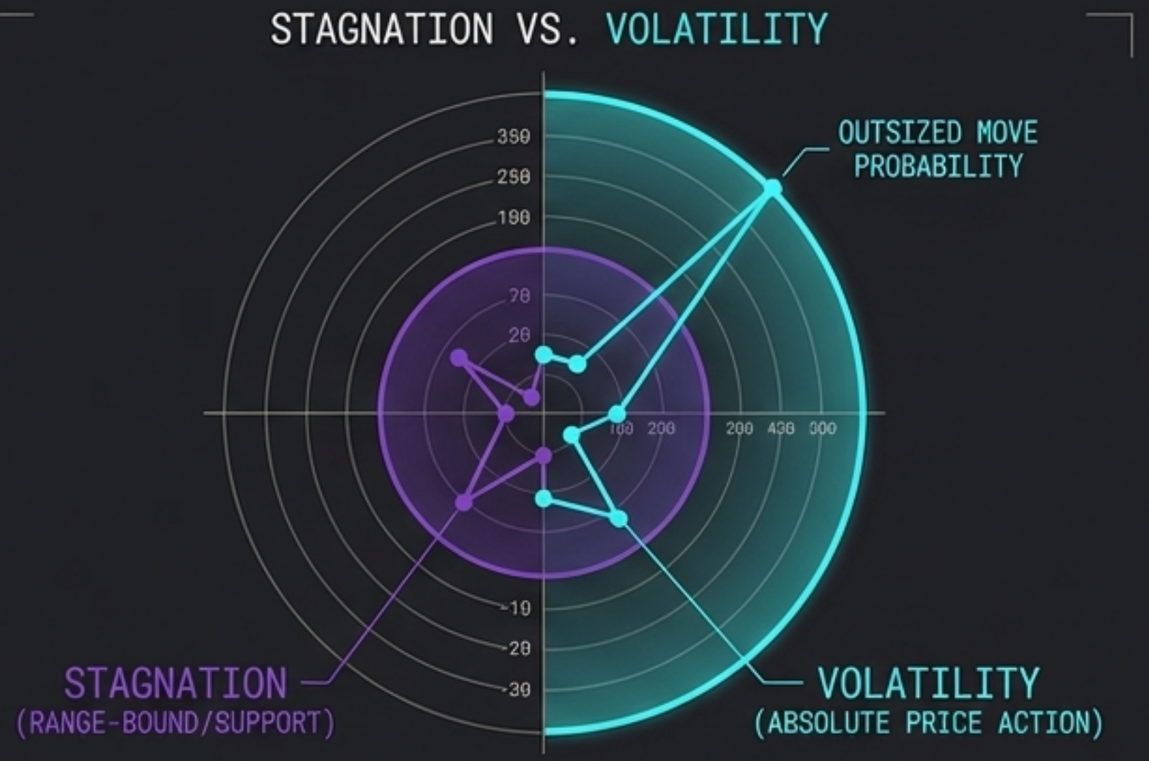
Market Interpretation: Expectation of stagnation or solid support. Taking a range-bound view rather than expecting a severe market crash.



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The True Paradigm: Volatility Over Direction



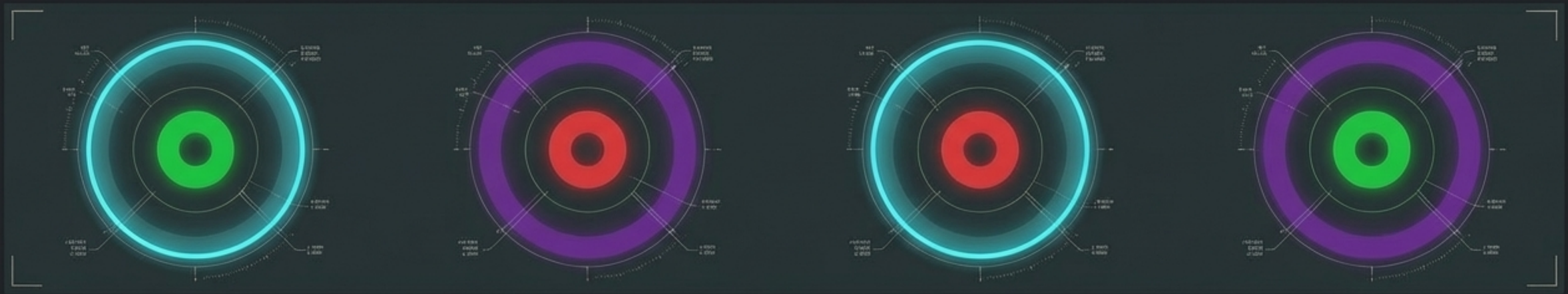


> "View this in terms of volatility, not negative for a downtrend or positive for an uptrend."

1. The primary utility of this framework is measuring absolute volatility expectations.
2. A Long Spike (Cyan) flags the highest probability of outsized price action, regardless of direction.

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Framework Synthesis



Convexity Rules

Cyan = Long (High Volatility, High Conviction)
Purple = Short (Stagnation, Range-bound)

GEX Rules

Green = GEX+ (Long Call / Short Put)
Red = GEX- (Short Call / Long Put)

Always synthesize the outer ring (volatility) with the inner circle (direction) to properly decode institutional options order flow.

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